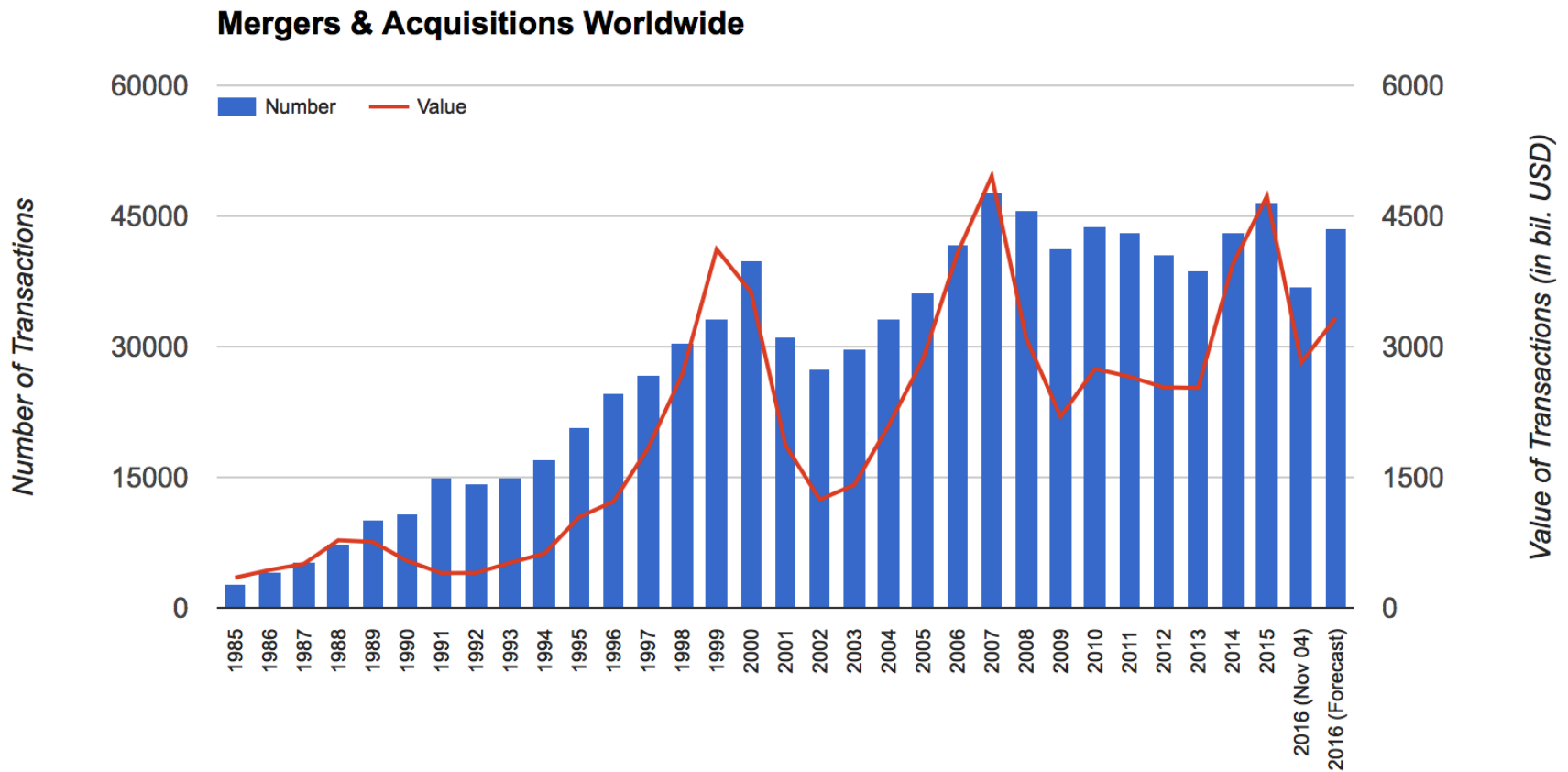


# **Mergers & Acquisitions + Cooperative Strategies**



# M&As: A significant phenomenon...



# What are reasons for M&As?



# Reasons for Mergers and Acquisitions

- M&A strategies can be used because of **uncertainty** in the competitive landscape. These strategies:
  - increase **market power** because of competitive threat
  - **spread risk** due to an uncertain environment
  - **shift the core business** into different markets
  - **manage** industry and regulatory **changes**.
- The aim is **to increase a firm's strategic competitiveness and value...** but historically, returns are close to zero, so it rarely works as planned.

# Examples of Increasing Market Power



SolarCity



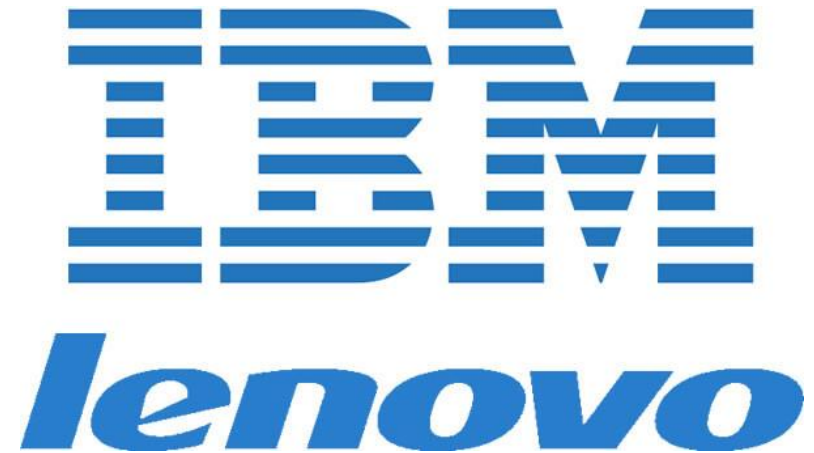
The  
**Book Depository**

An **amazon.COM** Company

# Examples of Spreading Risks

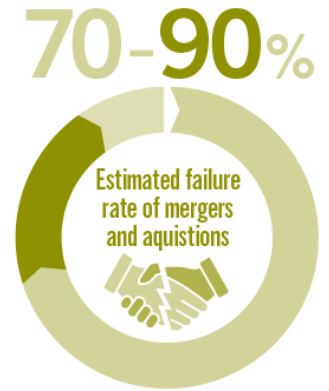


# Examples of Moving into New Core Areas / Learning



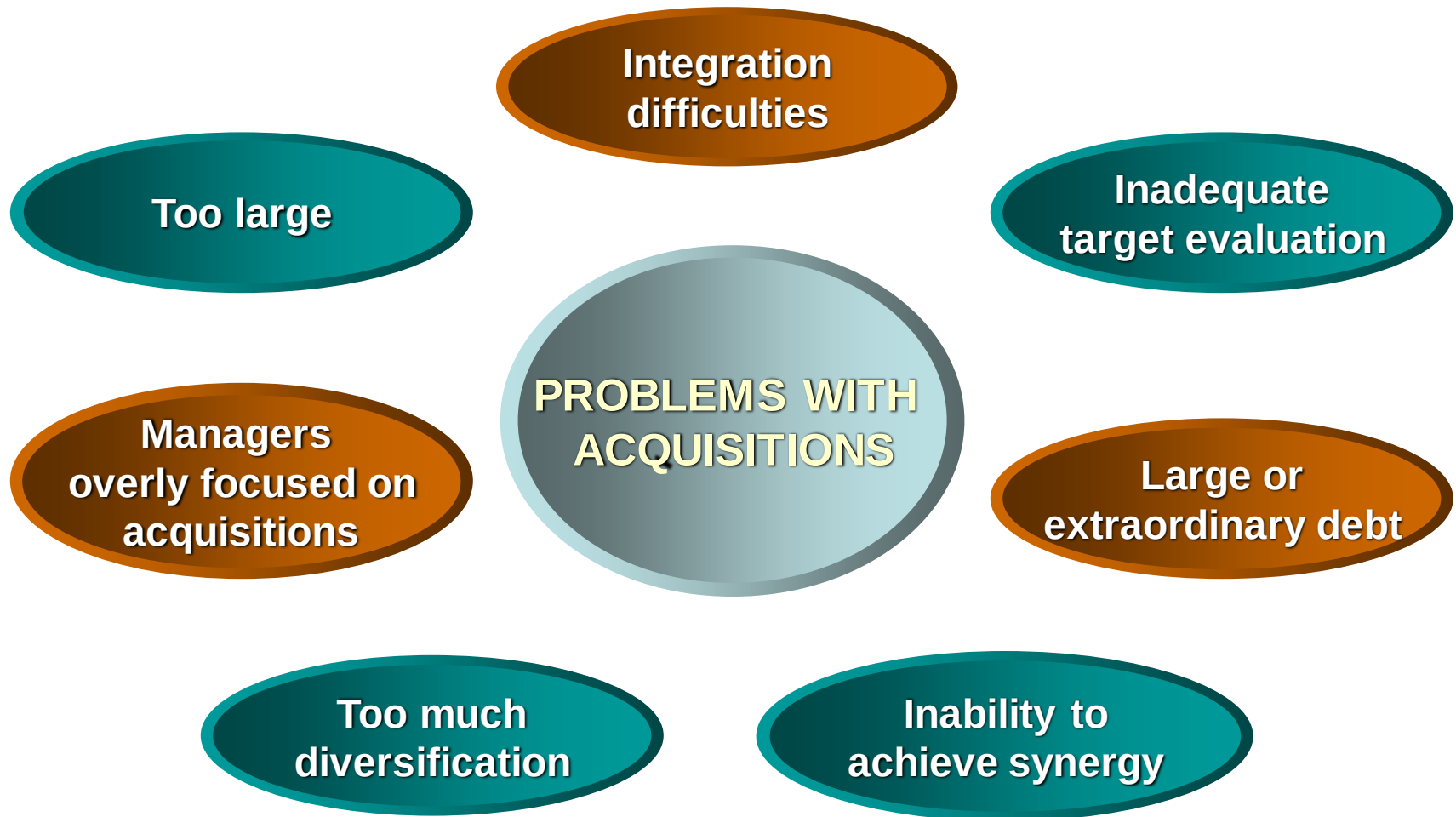
# Problems in Achieving Acquisition Success

- Acquisition strategies are **not free of problems**, even when pursued for value-creating reasons.
- Research suggests that:
  - **20 per cent** of all mergers and acquisitions are **successful**
  - **60 per cent** produce **disappointing results**
  - **20 per cent** are **clear failures**, with technology acquisitions reporting even higher failure rates.



Source: Harvard Business Review, June 2016

# Problems in Achieving Acquisition Success



# Effective Acquisition Strategies

**Complementary  
assets/resources**

**Buying firms with assets that meet  
current needs to build  
competitiveness**

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**Friendly  
acquisitions**

**Entering friendly deals to make  
integration go more smoothly**

---

**Due diligence/careful  
selection process**

**Deliberately evaluating and  
negotiating to lead to easy  
integration and building synergies**

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**Maintain financial  
slack**

**Providing enough additional financial  
resources so that profitable projects  
may be capitalised upon rather than  
forgone**

# Apple Watch Nike+



“With the Apple Watch Nike +, the world’s best running club comes to life with everyone and everything you need to be better.”

Nike sales topped \$30 billion last year, and it intends to grow sales to \$50 billion by 2020. Part of its plan to get there is through an increased **emphasis on digital**, meaning **e-commerce** but also **community engagement**, such as the **Nike+ run club**

# Why do organisations work together?

- To achieve a **shared objective**.
- Cooperating with other firms is a strategy that:
  - creates **value for a customer**
  - exceeds the cost of constructing customer value in other ways
  - establishes a **favourable position** relative to competitors.

# Joint Venture: Definition

A **joint venture** involves two or more firms creating a **legally independent company** to share resources and capabilities to develop a competitive advantage.

- It is an optimal choice when firms need to combine their resources and capabilities to create a **competitive advantage that is substantially different from individual advantages** and when highly uncertain, hypercompetitive markets are targeted.



## For example: Tata Starbucks Private Ltd



Starbucks decided to **offer coffee from India on its drinks list**, while at the same time **introducing its brand of tea to the Indian market**. Tata Starbucks Private Ltd opened its first store in 2012, and now has 84 outlets, which is a record expansion in Starbucks' 45-year history.

# Equity Strategic Alliance: Definition



An **equity strategic alliance** involves **two or more firms owning different percentages** of the company they have formed by **combining some of their resources and capabilities** for the purpose of creating a competitive advantage.

- Many foreign direct investments, such as those being made in China, are completed through an equity strategic alliance.

**What is this? Who made it?**



# Non-Equity Strategic Alliance: Definition

A **non-equity strategic alliance** involves two or more firms developing a **contractual relationship** to share some of their unique resources and capabilities to create a competitive advantage.

- This **does not establish a separate interdependent company**, so there are no equity positions.
- The alliance is **less formal**, has fewer partner commitments and does not foster an intimate relationship among partners.

# Supplier Agreements: McDonald's & Coca-Cola



## Coca-Cola

- Soft drink supplier to McDonald's – NOT PEPSI or KFC

# Business-Level Cooperative Strategy

Firms using a **business-level cooperative strategy** combine some of their resources and capabilities for the purpose of creating a competitive advantage by competing in one or more product markets.



# Types of Business-Level Cooperative Strategy



**TOSHIBA**

Competition  
response strategy

Competition-  
reducing strategy

# Corporate-Level **Cooperative Strategy**

The **corporate-level cooperative strategy** is a strategy in which a firm collaborates with one or more companies for the purpose of expanding its operations. The strategy

- helps a firm **diversify itself** in terms of products offered, markets served or both
- requires **fewer resource commitments**
- **permits greater flexibility** in terms of efforts to diversify partners' operations.